

Interactive

Telecom M&A: Here Are the Latest Deal Trends Worldwide

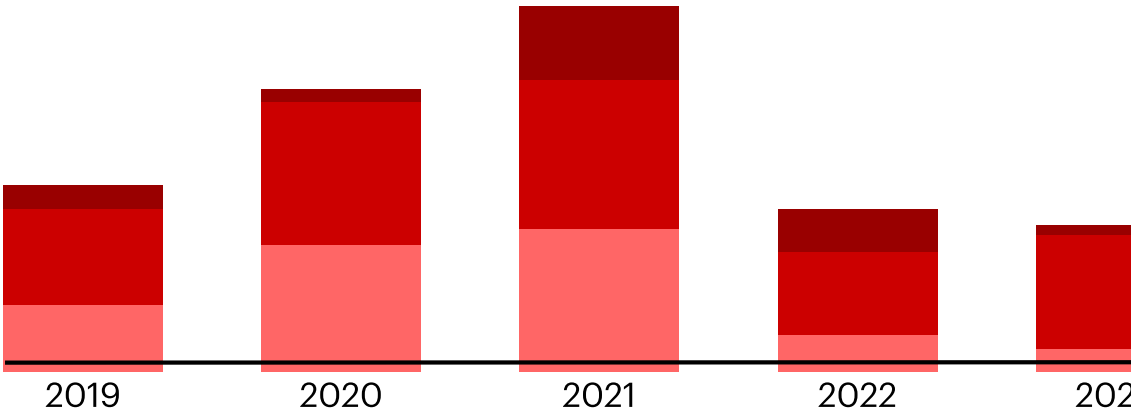
Telecommunications M&A deal value nearly quadrupled in the first three quarters of the year, as some telcos increase scale and others divest assets.

By Thomas Fidler and Herbert Blum

Telecom M&A deal value spiked in the first three months of 2024, led by the Americas

REGION	TYPE	SUBDEALS
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Global telecom M&A deal value by region



Notes: Deal value based on announcement year, excludes financial transactions, includes debt if applicable; values are rounded to the nearest billion USD; bars reflect Dealogic's data, which in the case of joint ventures and mergers, the stated value is the enterprise value of combined entity

Sources: Dealogic; RBC Capital; AnalysysMason; company publications; news articles; Bain analysis

Facing unprecedented industry transformation and emerging competitive threats, many telecommunications companies are turning to mergers and acquisitions to add new capabilities and evolve their businesses for the next era. At the same time, in the biggest industry reset since deregulation, the integrated telco is giving way to more disaggregated, narrowly focused business models. We're tracking telecom M&A activity around the world, and we'll publish the latest developments in this dashboard each quarter.

Here are some of the key takeaways through the third quarter of 2024.

- **Deal value up:** Global telecom M&A continued this year's strong run. Deal value surged from about \$24 billion in the first three quarters of last year to \$90 billion in the same period this year. The Americas accounted for 63% of the global total.
- **Trends to watch:** Mobile and fixed network companies continue to pursue scale deals to expand their networks (see two US fiber transactions: Verizon–Frontier and T-Mobile–Metronet). Meanwhile, financial investors are acquiring tower and fixed assets, which suggests confidence in digital infrastructure's business fundamentals despite recent headwinds.
- **Biggest deal:** Verizon's \$20.3 billion acquisition of Frontier is the year's largest announced transaction so far.
- **Scale deal momentum:** Scale deals accounted for nearly half of global deal value year to date, a notable shift from the past two years. Infrastructure divestments accounted for 22% of deal value through the first three quarters of 2024, while mobile and fixed divestments made up about 20% during that period. Infrastructure divestments accounted for a large portion of telecom M&A activity from 2019 through 2022, but high interest rates and other macroeconomic challenges reversed that trend.
- **Long-term view:** Infrastructure divestments account for about 36% of all deal value over the past five years, the largest share among deal types. Scale deals have the second-largest share at 33% during that period.

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